

## FUND OVERVIEW

|                               |                                             |
|-------------------------------|---------------------------------------------|
| Fund Manager(s)               | Sebastien Beguelin, George Crowdy, Mike Fox |
| Fund Size                     | £109.44m                                    |
| Fund Type                     | OEIC                                        |
| Domicile                      | United Kingdom                              |
| ISA                           | Eligible                                    |
| Benchmark Index               | -                                           |
| Investment Association Sector | IA Mixed Investment 40-85% Shares           |
| Currency                      | GBP                                         |
| Initial Charge                | 0.0%                                        |
| Fund Management Fee (FMF):    | M Acc: 0.77%<br>Z Acc: 0.62%                |
| Unit Launch Date              | Share Class M<br>GBP (Acc)<br>24.05.22      |
| Sedol code:                   | BMV9236                                     |
| Mid                           | 108.50p                                     |
| Minimum Investment            | £100,000                                    |
| Historic Yield                | 0.70%                                       |
| Unit Launch Date              | Share Class Z<br>GBP (Acc)<br>24.05.22      |
| Sedol code:                   | BMV9247                                     |
| Mid                           | 108.60p                                     |
| Minimum Investment            | £3,000,000                                  |
| Historic Yield                | 0.78%                                       |

## Overview

The Fund's investment objective is to achieve capital growth over the medium term, which should be considered as a period of 3-5 years, by investing in a diverse range of equity and fixed income assets. Investments in the Fund will adhere to the Investment Manager's ethical and sustainable investment policy. The Fund is actively managed, meaning that the Investment Manager will use their expertise to select investments to meet the objective. The IA Mixed Investments 40-85% Shares sector is considered an appropriate benchmark for performance comparison.

## Year-on-year performance

|                         | 30.06.22 to<br>30.06.23 | 30.06.21 to<br>30.06.22 | 30.06.20 to<br>30.06.21 | 30.06.19 to<br>30.06.20 | 30.06.18 to<br>30.06.19 |
|-------------------------|-------------------------|-------------------------|-------------------------|-------------------------|-------------------------|
| Share Class M GBP (Acc) | 9.1%                    | -                       | -                       | -                       | -                       |
| Share Class Z GBP (Acc) | 9.2%                    | -                       | -                       | -                       | -                       |

## Cumulative Performance (as at 31.07.23)

|                         | 3 Months | 6 Months | 1 Year | 3 Years | 5 Years |
|-------------------------|----------|----------|--------|---------|---------|
| Share Class M GBP (Acc) | 3.1%     | 4.2%     | 2.6%   | -       | -       |
| Share Class Z GBP (Acc) | 3.1%     | 4.2%     | 2.6%   | -       | -       |
| IA Sector Average       | 1.3%     | 0.7%     | 1.5%   | 14.4%   | 16.6%   |
| Quartile Ranking        | 1        | 1        | 2      | -       | -       |

## Performance Chart



■ Fund ■ IA Sector Average

**Past performance is not a guide to future performance. The value of investments and the income from them is not guaranteed and may go down as well as up and investors may not get back the amount originally invested.**

Source: RLAM and FE fundinfo as at 31.07.23. Fund performance is shown on a mid to mid price basis, net of fees and gross of taxes, with gross income reinvested unless otherwise stated. Benchmark performance is shown gross of fees and taxes.

## Fund Commentary

June was a strong month for global equity markets with the MSCI World Index rising by 3.4% in GBP terms. Markets were supported by another encouraging US CPI print and news that the US Federal Reserve would be taking a pause from further interest rate hikes. More cyclical sectors such as Consumer Discretionary, Industrials and Materials drove the markets performance while more defensive sectors such as Utilities, Communication Services and Health Care lagged. Meanwhile, the UK equity market was slightly weaker, with the FTSE All-Share Index rising by 1%, as UK inflation data came in higher than had been expected. The core rate, which excludes food and energy, hit a 31 year high of 7.1%.

The sterling credit market was down for a second consecutive month in June falling 1.23%, spreads were broadly unchanged on the month with government bond yields driving the decline – reflecting continued pressure from high inflation prints. Ten-year government bond yields rose 21bps over the month to 4.39% with the terminal rate implied by the market at 6.2% compared with 5.4% in May. The yield on the credit index sat at 6.33% at the end of June.

The fund outperformed in June and was ranked in the second quartile relative to its peer group. Over the past 12 months, the fund performed strongly ranking in the third percentile within its sector and is fourth percentile for the first half of this year.

Performance contributions within the month came from a broad range of industrial names which performed well as fears of recession receded, these included equipment manufacturers Nordson (focused on production lines) and Wabtec (focused on rail), along with HVAC specialist Trane Technologies. Shares in creative software Adobe were also strong during the month after reporting positive results. The key detractors this month included specialty chemical distributor IMCD, caught up in broader concerns around the health of the sector, along with internet search firm Alphabet, as investors took profits following a strong performance so far this year.

Activity was limited during the month, with the fund adding to its position in Google's parent company, Alphabet, along with adding to sterilisation specialist Steris. The trust also reduced its position in vehicle electrification specialist Aptiv.

## Credit Breakdown

|              | Fund  | Index |
|--------------|-------|-------|
| AAA          | 2.0%  | -     |
| AA           | 11.6% | -     |
| A            | 24.3% | -     |
| BBB          | 56.4% | -     |
| BB and below | 1.0%  | -     |

|         | Fund | Index |
|---------|------|-------|
| Unrated | 4.7% | -     |

| Sector Breakdown       |       | Maturity Profile                                                                                                                              |       |       |
|------------------------|-------|-----------------------------------------------------------------------------------------------------------------------------------------------|-------|-------|
|                        | Fund  |                                                                                                                                               | Fund  | Index |
| Basic Materials        | 2.2%  | 0 - 5 years                                                                                                                                   | 39.1% | -     |
| Consumer Discretionary | 6.7%  | 5 - 10 years                                                                                                                                  | 36.1% | -     |
| Consumer Staples       | 1.5%  | 10 - 15 years                                                                                                                                 | 9.8%  | -     |
| Financials             | 11.2% | 15 + years                                                                                                                                    | 14.9% | -     |
| Fixed Income           | 23.9% | Maturity classifications reflect issue maturity date, not market interpretation of redemptions.<br>Totals may not equal 100% due to rounding. |       |       |
| Health Care            | 13.9% |                                                                                                                                               |       |       |
| Industrials            | 20.0% |                                                                                                                                               |       |       |
| Technology             | 18.5% |                                                                                                                                               |       |       |
| Utilities              | 2.1%  |                                                                                                                                               |       |       |

-

| Top 10 Holdings as at 31.07.23          |              |
|-----------------------------------------|--------------|
|                                         | Fund         |
| Microsoft Corp                          | 3.1%         |
| Visa Com - Class A Shares Usdo.0001     | 3.1%         |
| Thermo Fisher Scientific Inc Com USD 1  | 2.8%         |
| Alphabet Inc Class A Com Npv            | 2.8%         |
| Schneider Elte Sa Eur8                  | 2.8%         |
| Astrazeneca Usdo.25                     | 2.7%         |
| Canadian National Railway Npv           | 2.7%         |
| Texas Insts Com Usd1                    | 2.5%         |
| London Stock Exchange Group Gbpo.069186 | 2.4%         |
| L'oreal Euro.20                         | 2.3%         |
| <b>Total</b>                            | <b>27.2%</b> |
| <b>No of Holdings</b>                   |              |

ESG Terms and Definitions

**ESG Integration:** The systematic and explicit inclusion of environmental, social and governance (ESG) factors into investment analysis and investment decisions.

**Sustainable Fund Objective:** A product that has sustainable investment or a reduction in carbon emissions as its objective.

**Exclusions:** Explicitly prohibits investing in a particular company, sector, business activity, country or region.

ESG Metrics Explanation

**Carbon Footprint:** Exposure to high emitters in the portfolio, expressed in tCO2e/\$M invested. Financed emissions (explained above) are divided by the portfolio value, the same approach for listed companies and private issuers is applied in this metric.

**Weighted Average Carbon Intensity:** Portfolio's exposure to carbon-intensive companies, expressed in tCO2e / \$M revenue. Scope 1 and scope 2 GHG emissions are divided by companies revenues, then multiplied based on portfolio weights (the current value of the investment relative to the current portfolio value). The WACI is calculated as a weighted average sum of the holdings with carbon intensity coverage.

ESG Characteristics Rationale

The Fund focuses on the sustainability of the products and services of the companies it invests in, as well as their standards of environmental, social, governance (“ESG”) management, alongside financial analysis. The investment approach is fundamentally based on positive screening; identifying companies that are making a positive contribution towards a cleaner, healthier, safer and more inclusive society, through assessing both what a company does and how it does it, and through active engagement to encourage continual improvement. The fund will not invest in companies that undertake business activities deemed to be detrimental to society and that breach our Do No Significant Harm principle. Further details of the Funds Sustainable Investment process can be found in the ethical and sustainable investment policy at [www.rlam.com](http://www.rlam.com)

ESG Characteristics

| Yes                        | No                                                                                  |
|----------------------------|-------------------------------------------------------------------------------------|
| ESG Integration            |  |
| Sustainable Fund Objective |  |
| Additional Exclusions*     |  |

*\*RLAM has a controversial weapons exclusion across all investments*

Our Fund Restrictions

|                                                                                     |                       |                                                                                      |                                                                                       |                           |                                                                                       |
|-------------------------------------------------------------------------------------|-----------------------|--------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|---------------------------|---------------------------------------------------------------------------------------|
|  | Adult Entertainment   |  |  | High Environmental Impact |  |
|  | Alcohol               |  |  | Human Rights Issues       |  |
|  | Animal Welfare        |  |  | Nuclear Power             |  |
|  | Armaments             |  |  | Nuclear Weapons           |  |
|  | Controversial Weapons |  |  | Tobacco                   |  |
|  | Fossil Fuels          |  |                                                                                       |                           |                                                                                       |
|  | Gambling              |  |                                                                                       |                           |                                                                                       |

**Details of avoidance and/or exclusion criteria:** <https://www.rlam.com/globalassets/media/literature/policies/rlam-ethical-and-sustainable-investment-policy.pdf>

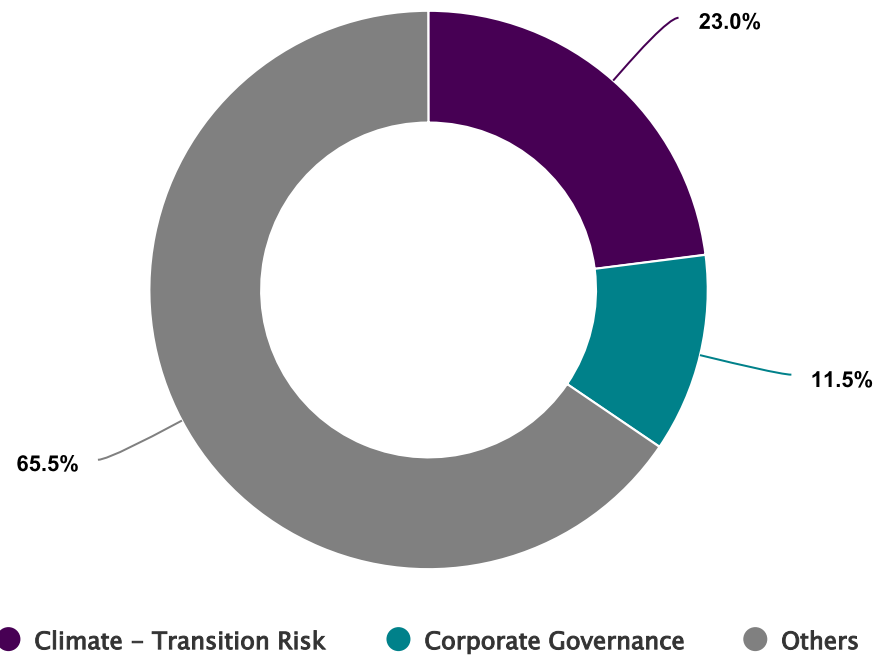
## ESG Metrics\*

| Portfolio                                  | Benchmark | Difference |  |      |
|--------------------------------------------|-----------|------------|--|------|
| <b>Weighted Average Carbon Intensity</b>   | 57.9      | -          |  | 0.0% |
| Weighted Average Carbon Intensity Coverage | 96.0%     | -          |  | -    |

\*data as at 30/06/2023

## Fund Stewardship Activity\*

### Engagement Topics



\*Data as at 31st December 2022 for the calendar year 2022. Data includes activity led by the Investment Manager and Responsible Investment teams.

**Fund Manager(s)**  
**Name**Sebastien Beguelin

**Name**George Crowdy

**Name**Mike Fox

**Yield Definitions**

The historic yield reflects distributions declared over the past twelve months as a percentage of the mid-market price, as at the date shown. It does not include any preliminary charge and investors may be subject to tax on their distributions. Reported yields reflect RLAM's current perception of market conventions around timing of bond cash flows.

**Important Information**

This is a financial promotion and is not investment advice.

The Fund is a sub-fund of Royal London Equity Funds ICVC, an open-ended investment company with variable capital with segregated liability between sub-funds, incorporated in England and Wales under registered number IC000807. The Authorised Corporate Director (ACD) is Royal London Unit Trust Managers Limited, authorised and regulated by the Financial Conduct Authority, with firm reference number 144037. For more information on the fund or the risks of investing, please refer to the Prospectus or Key Investor Information Document (KIID), available via the relevant Fund Information page on [www.rlam.com](http://www.rlam.com).

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Source: RLAM, FE fundinfo and HSBC as at 31.07.23, unless otherwise stated. Yield definitions are shown above.  
Our ref: FS RLAM PD 0097  
Breakdowns exclude cash and futures.

**CONTACT DETAILS**

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**Key Concepts to Understand**

**Bonds:** are defined as fixed-income investments issued as debt by companies and public bodies to raise finance. Investors in bonds receive a previously agreed, non-variable interest payment until the investment matures. Corporate bonds are those issued by companies to raise finance.  
**Capital Growth:** The rise in an investment's value over time.  
**Derivative:** A financial instrument whose price is dependent upon or derived from one or more underlying asset.  
**Equities:** Securities that represent an ownership interest in a company.  
**Environmental, social and governance:** A list of predefined criteria that determines how a company operates in terms of sustainability and overall corporate governance.  
**Efficient Portfolio Management (EPM) Techniques** The Fund may engage in EPM techniques including holdings of derivative instruments. The use of these instruments may expose the Fund to volatile investment returns and increase the volatility of the net asset value of the Fund. EPM techniques may involve the Fund entering into transactions with counterparties where there may be a risk of counterparty default. The Fund's ability to use EPM strategies may be limited by market conditions, regulatory limits and tax considerations.

**Fund Risks**

**Investment Risk:** The value of investments and any income from them may go down as well as up and is not guaranteed. Investors may not get back the amount invested.  
**Counterparty Risk:** The insolvency of any institutions providing services such as safekeeping of assets or acting as counterparty to derivatives or other instruments, may expose the Fund to financial loss.  
**Emerging Markets Risk:** Investing in Emerging Markets may provide the potential for greater rewards but carries greater risk due to the possibility of high volatility, low liquidity, currency fluctuations, the adverse effect of social, political and economic instability, weak supervisory structures and accounting standards.  
**EPM Techniques:** The Fund may engage in EPM techniques including holdings of derivative instruments. Whilst intended to reduce risk, the use of these instruments may expose the Fund to increased price volatility.  
**Exchange Rate Risk:** Investing in assets denominated in a currency other than the base currency of the Fund means the value of the investment can be affected by changes in exchange rates.  
**Liquidity Risk:** In difficult market conditions the value of certain fund investments may be difficult to value and harder to sell, or sell at a fair price, resulting in unpredictable falls in the value of your holding.  
**Responsible Investment Style Risk** The Fund can only invest in holdings that demonstrate compliance with certain sustainable indicators or ESG characteristics. This reduces the number of securities in which the Fund can invest and there may as a result be occasions where it forgoes more strongly performing investment opportunities, potentially underperforming non-sustainable funds.